

BEFORE THE FEDERAL MARITIME COMMISSION

FMC Agreement No. 201349,

World Shipping Council Agreement,

A Cooperative Working Agreement

DOCKET NO. 25-10

**RESPONSE OF THE WORLD SHIPPING COUNCIL
TO ORDER ON INVESTIGATION**

Pursuant to 46 CFR § 502.91 and the Federal Maritime Commission’s (the “FMC” or the “Commission”) March 6, 2026 Order on Investigation (“Order”), the World Shipping Council (“WSC”) hereby responds to the Commission’s Order that WSC submit an amended agreement and accompanying brief discussing how each category of activities included in the proposed amended agreement qualifies for inclusion pursuant to 46 U.S.C. §40301(a)(5).

I. Preliminary Statement

As WSC noted in its response to the Order to Show Cause, WSC filed its FMC Agreement in 2020 to comply with the U.S. Shipping Act (the “Shipping Act”) following a determination by WSC members to broaden the organization’s work in the U.S. and internationally. Specifically, its members decided to expand WSC’s work beyond traditional trade association activities to also cooperate directly among themselves to develop operational solutions for issues relating to and affecting ocean transportation, particularly in areas where collaboration among the industry could address gaps in existing regulatory schemes. WSC determined that such expansion could include work that constituted a cooperative working agreement (“CWA”), as defined by the Commission’s regulations, 46 C.F.R. 535.104(i), and as

interpreted by judicial and Commission precedent. WSC, like many other trade associations with agreements currently on file with the Commission, relied on existing Commission precedent that broadly defined the contours of a CWA when deciding whether to file its FMC Agreement. In its 2020 filed Agreement, WSC also made clear that its activities would continue to include both trade association as well as expanded CWA activities, with only the latter being subject to the Shipping Act and Commission jurisdiction.

The Commission has now concluded that some, but not all, of WSC's Agreement activities properly fall within the scope of a CWA under 46 U.S.C. 40301(a)(5). As in the Order to Show Cause, the Commission relies primarily on *Federal Maritime Commission v. SeaTrain Lines*, 411 U.S. 726 (1973), finding that some activities contained in the WSC FMC Agreement do not fall within the scope of a CWA "because they are not 'similar in type to those specifically enumerated' in the other parts of section 40301(a)." Order at 2 (citing *SeaTrain Lines*, 411 U.S. at 734). Despite WSC's Response on this issue, the Commission maintained its interpretation that this "similar in type" language from the *SeaTrain Lines* decision means that to qualify as a CWA an activity must "describe agreements about operational activities—in plain terms, the 'nuts and bolts' of getting paid to carry cargo or passengers on ships." *Id.*; *see also* Order at 13 ("The Court concluded that a 'cooperative working agreement' within the Shipping Act must relate to activities that are similar to those described in the other subsections of what is now section 40301(a), which focus on the actual operations of carriers, such as regulating rates,

allocating ports, or regulating freight volume or traffic.”).¹

As directed, WSC now files an Amended and Restated Agreement and accompanying brief to comply with the Commission’s Order.

As ordered, this brief:²

1. Outlines the provisions contained in WSC’s previously filed agreement that have been removed from the Amended and Restated Agreement consistent with the Order.
2. Provides an explanation for certain categories of activities and topics that remain in the Amended and Restated Agreement.

II. WSC’s FMC Agreement Authorities

Article 2 (Purposes of the Agreement)

Pursuant to the FMC’s conclusion that “trade association activities” (i.e., “regulatory and policy matters” as described in the Order) do not qualify as being part of a CWA, WSC removed references to WSC’s trade association-related work from this Article to make it clear that the Amended and Restated Agreement does not cover such trade association activities. Using the Commission’s framework in the Order, Article 2 similarly makes clear that WSC’s FMC Agreement includes certain other cooperative activities involving operational matters that do fall within the U.S. Shipping Act and the FMC’s Jurisdiction as CWAs.

¹ Respectfully, as WSC noted in its Response to the Order to Show Cause, in *SeaTrain* neither the Supreme Court nor the underlying case before the D.C. Circuit made any such conclusion. Instead, in referring to the fact that CWAs under section 40301(a)(5) needed to be “similar in type” to the other authorities described in 46 U.S.C. 40301, the Supreme Court and the D.C. Circuit simply held that such agreements must be *continuing in nature*, and because the acquisition of assets of one common carrier by another in that case was not continuing in nature, it was not appropriately characterized as a CWA. WSC Response at 8-10.

² In order to provide a clear accounting of the changes reflected in the Amended and Restated Agreement including both removals of prior existing authorities and the addition of new authorities, please note that the Article and subsection numbers and letters referenced herein relate to the Articles and subsection labeling of WSC’s FMC Agreement that was in place before the FMC initiated this investigation.

Article 4 (Geographic Scope)

Pursuant to the FMC’s conclusion that “trade association activities” do not qualify as being part of a CWA, WSC removed references to WSC’s trade association-related work from this Article to make it clear that the Amended and Restated Agreement does not cover such trade association activities. WSC also revised this Article to clarify that the CWA authorities that remain in the Amended and Restated Agreement cover U.S. international trades within the jurisdiction of the Commission.

Article 6 (Trade Association Activities); Article 7 (Administration of Agreement); Article 8 (Membership); Article 9 (Voting); Appendix B (Bylaws)

Pursuant to the FMC’s conclusion that “trade association activities” do not qualify as being part of a CWA, WSC removed Article 6 in its entirety from the Amended and Restated Agreement, which previously made clear that “certain public policy activities and initiatives on behalf of [WSC’s] members” are not subject to the Shipping Act. WSC also removed Appendix B (WSC’s Bylaws) from the Amended and Restated Agreement and references to WSC’s Bylaws in Articles 7, 8, and 9 because WSC’s Bylaws are the governing document for WSC’s work as a trade association and therefore under the Order are also outside of the bounds of what the Commission interprets as a CWA to be included in an FMC Agreement. All topics relevant to the administration of the Amended and Restated Agreement are included in Articles 8 and 9 of the Amended and Restated Agreement.

Article 5.1(a) (Environmental and Climate Matters)

In accordance with the Commission’s reasoning in the Order, the Amended and Restated Agreement retains all the current Agreement’s environmental and climate authorities set forth in Article 5.1(a). The authorities in this subsection have been retained based on the Commission’s determination in the Order that they are “within the proper bounds for a filed agreement.” Order

at 3. As requested by the Commission, WSC also provides the following explanations in support of the conclusion that the authorities set forth in Article 5.1(a) are topics permissibly covered under a CWA.

Article 5.1(a) establishes that Agreement parties may exchange information, discuss, and reach voluntary non-binding agreements on the following topics, all of which directly deal with or pertain to ocean transportation and are encompassed within the scope of the Shipping Act. Using the Commission's framework of CWAs in the Order, these provisions all describe authorities that allow the Agreement parties to reach cooperative agreements on "operational activities":

- Topics relating to vessel emissions and alternative fuels: The establishment of joint industry positions and methodologies relating to vessel emissions and the use of newer, lower-emission fuels or the establishment of trading corridors that will allow for greater production of such fuels, relate directly to the operational functions of Agreement party vessels and the individual strategic operational decisions that Agreement parties may make with regard to vessel fleets and fuel investment.
- Topics relating to transiting high risk or environmentally sensitive areas: The establishment of best practices and industry positions for transiting high-risk or environmentally sensitive areas relate directly to how the Agreement parties may ultimately act in operational matters such as the routing of cargo to ensure efficient, safe means of transport for the international supply chain, including as it relates to goods moving to and from the United States.
- Topics relating to plastics at sea, noise pollution, and protection of threatened and endangered species: Pursuant to these authorities, Agreement parties may coordinate best

practices or joint industry positions that relate directly to vessel operations. This includes topics such as the implementation of voluntary speed reduction zones or low load operation standards to reduce environmental pollutants associated with vessel operations and ensure safe and efficient transit of areas containing threatened and endangered species, including as it relates to goods moving to and from the United States.

- Topics relating to ship recycling, cold-ironing, and ballast water exchange: Pursuant to these authorities, Agreement parties may coordinate best practices or joint industry positions that relate directly to vessel operations, such as considerations relating to the long term operational life of vessels and the location and access to appropriate ship recycling resources, which ultimately impact the safe and efficient transit of vessels in the global supply chain.

Article 5.1(b) (Legal and Regulatory Matters Relating to Competition Laws or Antitrust Laws)

WSC removed this section to comply with the Order. Order at 27.

Article 5.1(c) (International Agreements, Treaties, and Conventions Matters)

WSC removed this section to comply with the Order. Order at 27.

Article 5.1(d) (Transportation Infrastructure and Supply Chain Fluidity Matters)

WSC amended this provision in accordance with the Order. In the Order, the Commission stated that the authorities contained in WSC's existing FMC Agreement may fall within the proper bounds of a CWA, although it had "serious doubts" based on the description of those authorities, particularly because the provision authorized the Agreement parties to agree on "positions to be taken with respect to requirements" of governments and institutions. Order at 18. WSC removed this language highlighted by the Commission to make clear that any "high level policy and best-practice endeavors" (i.e., trade association, regulatory, or policy activities) are

not included in the Amended and Restated Agreement consistent with the Order.

WSC has maintained the remainder of this provision as it believes the exchange of information, discussion, and adoption of any voluntary, non-binding agreements (including best practices and/or guidelines), with respect to issues such as transportation infrastructure, cargo and supply chain fluidity, port and terminal operations, inland operations impacting the provision of ocean and intermodal transportation services, and cargo compliance, handling and processing infrastructure and facilities do fall within the Commission's stated framework of CWAs in the Order because any such cooperative activities between the WSC members relating to these matters clearly relate to the operational activities of WSC's members.

As WSC noted in its Response to the Order to Show Cause, it previously used this authority through the discussion and exchange of information between the Agreement parties during the peak of the COVID-19 crises on issues relating to transportation infrastructure, cargo and supply chain fluidity, and port and terminal operations. WSC has also used this authority through the Agreement parties cooperating to navigate and respond to real-time regional and global conflicts and issues that directly affect the ability to safely and efficiently transport cargo throughout the supply chain, including in the United States. This includes, for example, discussing and exchanging information regarding terminal operations and transits in the Panama Canal during drought periods, discussing and exchanging information to identify security risks due to ongoing conflicts in the Red Sea, Middle East, and coordinating among its members rapid response plans to combat piracy in high-risk sea lanes.

Article 5.1(e) (Safety and Security Matters)

In accordance with the Commission's reasoning in the Order, the Amended and Restated

Agreement retains all the safety and security authorities set forth in Article 5.1(e).³ As stated in the Order, these authorities fall within the bounds of a CWA because they directly relate to, or have a “sufficient link to” the operational activities. Order at 19. Specifically, the safety and security topics set forth in this subsection relate to operational matters in the following ways:

- Cargo, crew, and vessel safety relating to dangerous goods: Article 5.1(e) allows for the creation of WSC’s Cargo Safety Program screening and inspection tool, which allows Agreement parties to opt in to the use of the tool and increase operational safety as it relates to cargoes, crews, longshore labor, port infrastructure, and vessels, which ultimately enhances safety and security across the global supply chain. This provision also includes authorities for the creation of an “Incident Database” within the Cargo Safety Program, which WSC filed as an amendment to its FMC Agreement on February 27, 2026. The Commission thereafter issued a Request for Additional Information (“RFAI”) relating to that amendment, and WSC is currently in the process of responding to that RFAI.
- Other safety hazards including pest contamination, containers lost at sea, and proper container packing and stowage: Establishment of best practices and fact-based studies on these topics allow Agreement parties to securely transport cargo and operate in an efficient and safe manner. For illustration, pursuant to existing authorities in its FMC Agreement, WSC and its members have worked closely with other industry stakeholders to develop operational guidelines for addressing pest contamination within containers

³ This Article also includes authorities that are subject to a pending amendment to WSC’s existing FMC Agreement, which WSC filed on February 27, 2026. WSC is currently in the process of responding to a Request for Additional Information from the Commission relating to this amendment. The authorities within the pending amendment relate to WSC’s Cargo Safety Program, which directly pertains to the safe operation of vessels within the global supply chain.

across the supply chain, which can present both risk to individual cargoes as well as broader health and safety risks.

- Illicit trafficking of drugs, wildlife, and persons: These topics allow for the creation of voluntary best practices, participation by ocean carriers in public-private cooperative efforts with customs agencies such as U.S. Customs and Border Protection (“CBP”) and law enforcement, and work with other transportation parties or authorities to prevent illicit trafficking by enhancing targeting capabilities to identify illicit cargo. These public-private cooperative efforts include operational discussions between WSC members and law enforcement authorities in broad terms as well as on specific trade lanes or shipments, all of which are used to identify illicit trafficking trends and prevent illegal activity. Pursuant to the authorities in its FMC Agreement, WSC has participated in several successful public-private cooperatives in the U.S. and internationally to combat illicit trafficking of items such as drugs or wildlife, and these efforts provide both law enforcement partners and WSC members with unique operational insights to reduce and eliminate illicit trafficking activities. Ocean carrier participation in such public-private efforts therefore ultimately enhances the operational safety and security of the global supply chain.

In addition to the pre-existing authorities in 5.1(e), the Amended and Restated Agreement also includes new authorities. These new authorities will allow Agreement parties to:

- Share information, discuss, and agree upon voluntary best practices relating to the safety and security of seafarers during voyages; and
- Create and maintain databases and visualization tools to track data relating to seafarer well-being, safety, and security.

Seafarer work requires a safe and secure environment, and the absence of a safe environment greatly impacts the ability of ocean carriers to operate. As such, these new authorities involve ocean carrier operational issues and the operation of the global supply chain.

Article 5.1(f) (Information Technology, Data Standards, Customs Matters)

Pursuant to the FMC’s conclusion that “trade association activities” are not sufficiently similar to the operational activities listed in section 40301(a) to qualify as being part of a CWA, WSC removed subsection 5.1(f) from the Amended and Restated Agreement.

Article 5.1(g) (Trade Association Matters)

WSC removed this section to comply with the Order. Order at 27.

III. Conclusion

WSC has always prioritized compliance with laws and regulations in every jurisdiction in which it operates, including all competition laws and the Shipping Act in the United States. As part of this compliance, WSC filed its Agreement with the Commission in 2020, when its members sought to expand the scope of WSC’s activities to also include cooperation on operational matters related to ocean transportation that constituted CWAs under the U.S. Shipping Act. In furtherance of its compliance, pursuant to the Commission’s recent Order expressing a narrower interpretation of CWAs under the Shipping Act, WSC now files an Amended and Restated Agreement. As part of WSC’s continuing compliance efforts, should WSC later determine that a cooperative activity that its members propose to undertake qualifies as a CWA that is not included in the Amended and Restated Agreement, WSC will seek to amend its Agreement. In the meantime, WSC welcomes the opportunity to discuss with the Commission its Amended and Restated Agreement.

Respectfully submitted,

A handwritten signature in blue ink, appearing to read "R. Magovern", with a stylized, cursive script.

Robert K. Magovern
Counsel to World Shipping Council

Date: May 5, 2026